

Testing: if Robust to different PFs
Test a 2nd PF

$$s = \ln(D)^{\varepsilon} - \varepsilon$$

↓ from
Deadline
input

$$s(m) = \ln D(m) - \varepsilon$$

$$\begin{aligned} V &= \ln s(m^*) - \ln D(m^*) \\ &= \ln s(\cancel{m^*}) - \ln D(m^*) + (\ln(\cancel{s(m)}) - \ln(\cancel{s(m)})) \\ &\quad + (\ln D(m) - \ln D(\cancel{m})) \end{aligned}$$

$$= \underbrace{\ln s(m) - \ln D(m)}$$

$$+ \ln s(m^*) - \ln(m)$$

$$- [\ln D(m^*) - \ln D(m)]$$

$$= -\varepsilon + \ln\left(\frac{p^* t u^*}{p^* x} \cdot \frac{p^* \bar{x}}{p^* t m}\right)$$

$$= -\varepsilon + \ln\left(\frac{D(m^*)}{D(m)}\right)$$

$$= -\varepsilon + \ln\left(\frac{m^*}{m}\right) - \ln\left(\frac{D(m^*)}{D(m)}\right)$$

$$= -\varepsilon + \ln\left[\frac{t \bar{x}}{t m} \cdot \frac{D(m^*)}{D(m)}\right]$$

concavity
↓
≥ 1 ⇒ ≥ 0

2 flex : 1 Reschlore 1 Mon-Quadrat

$$s = \ln D(m) - \varepsilon$$

$$V = s - \ln(m^*)$$

$$= s - \ln D(m^*) + \ln D(m) - \ln D(m)$$

$$= s - \ln D(m^*) + \ln D(m) - \ln D(m^*)$$

$$= -\varepsilon - \left[\ln D(m^*) - \ln D(m) \right]$$

$$= -\varepsilon - \ln \left(\frac{D(m^*)}{D(m)} \right)$$

monotonicity

> 1

> 0

1) why are we including industries for which I could not find evidence of overpricing?

→ No need to correct for estimation

→ if correcting → introducing other type of error

2) Testing: industries

Repeat → OK industries

incentives

→ No overpricing

② 2
→ Fail to reject OK